

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



For the quarter ended 30th September 2021

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STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30TH SEPTEMBER, 2021

	For the quarter ended			For the Six Month Ended		
	30.09.2021	30.09.2020	Change	30.09.2021	30.09.2020	Change
	LKR	LKR		LKR	LKR	
	Unaudited*	Unaudited*	%	Unaudited*	Unaudited*	%
Interest Income	585,366,635	730,610,742	-19.88%	1,146,913,605	1,407,778,369	-18.5%
Interest Expenses	(319,522,919)	(365,507,204)	-12.58%	(638,792,205)	(772,929,045)	-17.4%
Net Interest Income	265,843,716	365,103,538	-27.19%	508,121,401	634,849,324	-20.0%
Net Trading Gain/(Loss) on Equity Securities	-	-	0.00%	-	-	0.00%
Other Operating Income	166,689,296	29,037,671	474.04%	283,302,733	49,267,335	475.0%
Less: Operating Expenses						
Personnel Costs	(77,519,596)	(57,227,967)	35.46%	(148,555,197)	(114,910,052)	29.3%
Provision for Staff Retirement Benefits	(1,500,000)	(2,100,000)	-28.57%	(3,600,000)	(4,200,000)	-14.3%
General and Administration Expenses	(189,243,827)	(184,734,912)	2.44%	(367,240,920)	(334,154,705)	9.9%
	(114,858,430)	(96,895,833)	18.54%	(179,904,257)	(184,601,101)	-2.5%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances						
Operating Profit before Value Added Tax on Financial Services	49,411,159	53,182,497	-7.09%	92,123,760	46,250,801	99.2%
Value Added Tax on Financial Services	(6,500,000)	(15,000,000)	-56.67%	(21,500,000)	(25,000,000)	-14.0%
Profit Before Taxation	42,911,159	38,182,497	12.38%	70,623,760	21,250,801	232.3%
Income Tax (Expenses) / Reversal	(18,000,000)	(20,000,000)	-10.00%	(36,000,000)	(20,000,000)	80.0%
Profit for the Period	24,911,159	18,182,497	37.01%	34,623,760	1,250,801	2668.1%
Actuarial Loss on Retirement Benefit Liability	-	-	-			-
Income Tax on Components of Other Comprehensive Income	-	-	-			-
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-
Total Comprehensive Income for the Period	24,911,159	18,182,497	37.01%	34,623,760	1,250,801	2668.1%
Earnings Per Share - Basic	0.20	0.15	33.72%	0.28	0.01	2687.8%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.09.2021 LKR Unaudited*	31.03.2021 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	1,589,684,144	1,006,233,476	57.98%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	1,615,778,416	654,692,844	146.80%
Financial assets at amortized cost - Loans and advances	11,767,447,655	10,198,262,863	15.39%
Financial assets at amortized cost - Lease rentals receivable and hire purchase	1,592,612,366	2,212,534,894	-28.02%
Other Assets	3,154,182	21,637,319	-85.42%
Income Tax Receivable	27,698,763	27,698,763	0.00%
Advances, Deposits and Prepayments	199,573,600	252,083,662	-20.83%
Financial assets - Fair value through other comprehensive income	506,659	506,659	0.00%
Right-of-use assets	194,913,240	217,810,352	-10.51%
Property, Plant and Equipment	154,098,308	156,436,174	-1.49%
Investment Property	367,158,647	376,158,647	-2.39%
Deferred Tax Assets	149,422,647	185,422,647	-19.42%
Intangible Assets	46,886,850	40,951,790	14.49%
Total Assets	17,708,935,477	15,350,430,089	15.36%
LIABILITIES			
Financial liabilities - Due to banks	27,613,532	24,279,289	13.73%
Other Liabilities	27,231,777	38,147,908	-28.62%
Financial liabilities - Other borrowed funds	4,218,762,652	4,778,758,726	-11.72%
Lease liability	200,026,904	213,877,899	-6.48%
Due to Customers	8,452,616,899	7,013,686,384	20.52%
Subordinated Liabilities	2,079,705,320	1,029,465,110	102.02%
Retirement Benefit Liability	32,290,128	30,135,378	7.15%
Total Liabilities	15,038,247,212	13,128,350,694	14.55%
SHAREHOLDERS' FUNDS			
Stated Capital	2,205,463,801	1,791,478,691	23.11%
Retained Earnings	385,926,782	351,303,022	9.86%
Statutory Reserve Fund and Other Reserves	79,297,682	79,297,682	0.00%
Total Equity	2,670,688,265	2,222,079,395	20.19%
Total Equity and Liabilities	17,708,935,477	15,350,430,089	15.36%
Net Assets Per Share	21.50	17.89	20.2%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th June 2021 and its profit for the Period ended 30th September 2021.

.....Sgd.....

Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.
Approved and Signed for and on behalf of the Board:

R.J.A. Gunawardena

Director/CEO

Thusitha Perera

Director/Chairman of the Audit Committee

30th October 2021

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30TH SEPTEMBER, 2021

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	Stated Capital		General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
	Ordinary Share Capital Rs.	Preference Share Capital Rs.				
Balance as at 1st April, 2020 (Audited)	1,791,478,691	-	3,000,000	73,766,353	303,207,769	2,171,452,813
Profit for the Six months Ended 30th September 2020	-	-	-	-	1,250,801	1,250,801
Other comprehensive income (net of tax)					-	-
Transaction with equity holders recognized directly in equity						
Proceeds from right issue of ordinary shares	-	-	-	-	-	-
Transferred to/from reserves During the Period	-	-	-	-	-	-
Balance as at 30th September, 2020 (Unaudited)	1,791,478,691	-	3,000,000	73,766,353	304,458,570	2,172,703,614
Balance as at 1st April, 2021 (Audited*)	1,791,478,691	-	3,000,000	76,297,682	351,303,022	2,222,079,395
Profit for the Six months Ended 30th September 2021	-	-	-	-	34,623,760	34,623,760
Other comprehensive income (net of tax)			-		-	-
Total comprehensive income for the year						
Transaction with equity holders recognized directly in equity						
Proceeds from issue of preference shares	-	413,985,110.00				413,985,110
Transferred to/from reserves During the Period				-	-	-
Balance as at 30th September, 2021 (Unaudited*)	1,791,478,691	413,985,110	3,000,000	76,297,682	385,926,783	2,670,688,265

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

STATEMENT OF CASH FLOW

FOR THE PERIOD ENDED 30TH SEPTEMBER, 2021

	30.09.2021 Rs. Unaudited*	30.09.2020 Rs. Unaudited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	70,623,760	21,250,801
Adjustments for		
Depreciation and amortization	32,088,006	29,566,219
Amortization of - right of use asset	26,696,298	17,187,341
Interest expenses on Lease Liability	12,927,888	9,056,140
Impairment of lease hire purchase, loans and advances	179,904,257	184,601,101
Early termination of loans, leases and hire purchase	(20,565,904)	-
(Gain)/loss from sale of property, plant and equipment and investment property	(3,142,130)	774,840
Non-cash items included in profit before tax (WHT and Notional tax)	-	37,816
Provision for retirement benefit liability	3,600,000	4,200,000
Interest expense on Debenture	60,655,766	-
Interest expense on other borrowings	251,186,955	404,738,409
Profit from Operation Before Working Capital Changes	613,974,895	671,412,667
	-	-
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	709,205,244	621,602,938
(Increase)/decrease in loans and advances	(1,817,805,860)	231,225,086
(Increase)/Decrease in Other Receivables	-	37,817
(Increase)/Decrease in Deposits and Prepayments	67,194,034	17,023,410
(Increase)/Decrease in Deposits from Customers	1,438,930,514	(68,246,874)
Increase/(decrease) Other non-financial liabilities	(9,736,948)	(61,362,433)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	1,001,761,878	1,411,692,611
Rent Paid	(27,958,068)	(13,391,324)
Gratuity paid	(1,445,249)	(1,725,250)
Net Cash From Operating Activities	972,358,561	1,396,576,037
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment	(26,610,593)	(4,829,959)
Acquisition of intangible assets	(9,646,942)	(1,106,768)
Proceeds from sale of property, plant and equipment	504,228	-
Proceeds from sale of investment property	-	(35,000)
Acquisition of Investment Property	12,210,241	2,900,000
Net Cash Flows From/(Used in) Investing Activities	(23,543,066)	(3,071,727)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(2,274,183,052)	(2,397,301,131)
Proceed from debenture issue	992,275,770	-
Repayment of debenture	(2,691,326)	-
Proceeds from preference share issue	413,985,110	-
Proceeds from Other Borrowed Funds	1,463,000,000	1,596,000,000
Net Cash Flows From/(Used in) Financing Activities	592,386,502	(801,301,131)
Net Increase in Cash and Cash Equivalents	1,541,201,997	592,203,179
Cash and Cash Equivalents at the Beginning of the Period	1,636,647,031	1,313,792,053
Cash and Cash Equivalents at the End of the Period	3,177,849,028	1,905,995,231
At the End of the Period		
Cash and Cash Equivalents	1,589,684,144	766,920,748
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	1,615,778,416	1,228,511,946
Bank Overdraft	(27,613,532)	(89,437,464)
	3,177,849,028	1,905,995,231

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.09.2021	30.09.2020	30.09.2021	30.09.2020	30.09.2021	30.09.2020	30.09.2021	30.09.2020	30.09.2021	30.09.2020	30.09.2021	30.09.2020	30.09.2021	30.09.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	190,464,032	509,716,430	120,241	921,222	274,622,174	407,760,622	58,977,418	31,597,792	622,729,740	440,517,073	-	17,265,231	1,146,913,605	1,407,778,370
Other Income	17,545,370	662,755	-	-	40,636,561	3,500,866	-	-	219,794,366	30,314,218	5,326,436	14,789,496	283,302,733	49,267,335
Total Revenue	208,009,402	510,379,185	120,241	921,222	315,258,735	411,261,488	58,977,418	31,597,792	842,524,106	470,831,291	5,326,436	32,054,727	1,430,216,338	1,457,045,705
Segmental Result	13,398,398.39	16,200,896	7,745	29,242	20,306,592	13,054,617	3,798,881	1,003,004	54,269,055	14,945,533	343,089	1,017,509	92,123,760	46,250,801
Value Added Tax on Financial Services													(21,500,000)	(25,000,000)
Profits from Operations													70,623,760	21,250,801
Income Tax Charge/Reversal for the Period									-				(36,000,000)	(20,000,000)
Net profit for the Period													34,623,760	1,250,802
Segment Assets	1,594,120,016	3,089,786,379	543,704	-	3,493,748,911	4,264,432,262	1,615,778,416	1,228,511,946	8,271,647,390	4,239,968,040	-	-	14,975,838,436	12,822,698,627
Unallocated Assets	-	-									2,733,097,041	1,825,981,797	2,733,097,041	1,825,981,797
Total Assets	1,594,120,016	3,089,786,379	543,704	-	3,493,748,911	4,264,432,262	1,615,778,416	1,228,511,946	8,271,647,390	4,239,968,040	2,733,097,041	1,825,981,797	17,708,935,477	14,648,680,424
Segment Liabilities	1,594,427,312	-	543,809	-	3,494,422,396	-	1,616,089,887	-	8,273,241,903	-	-	-	14,978,725,307	12,410,744,249
Unallocated Liabilities			-	-	-	-	-	-	-	-	59,521,905	65,232,563	59,521,905	65,232,563
Total Liabilities	1,594,427,312	-	543,809	-	3,494,422,396	-	1,616,089,887	-	8,273,241,903	-	59,521,905	65,232,563	15,038,247,212	12,475,976,812

In determining segment results,
Expenses have been allocated proportionately based on interest income
Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2021.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th September, 2021 (including comparatives) were approved and authorized for issue on 30th September, 2021 in accordance with a resolution of the board of directors on 29 th September, 2021.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Asia Asset Finance Plc have Paid a Fine of Rs. 10 Million for deviating from the Finance Business Act (Opening, Closure and Relocation of Business Places) Direction No 01 of 2016 and Finance Business Act (Business Expansion and Operations) No 06 of 2020 In terms of Section 25(1) of (a) of Finance Business Act, when opening of New Branches. Subsequently all branch openings have been approved along with the approval for the 2021 business plan.
06. Subsequent to Balance sheet date, no circumstances has arise that would require adjustments to or disclosure statements.

07. Ordinary Share capital is represented by number of shares in issue as follows.

	30.09.2021	31.03.2021
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	124,195,533

08. Market Value of Ordinary Shares

	30.09.2021	31.03.2021
	Rs.	Rs.
Highest Traded Price	9.80	9.10
Lowest Traded Price	7.00	5.50
Closing Price	7.70	5.60

09. Preference Share capital is represented by number of shares in issue as follows.

Asia Asset Finance PLC issued 41,398,511 preference shares [non-cumulative, irredeemable and convertible] at a price of LKR 10/- per share. (Carrying a Preferential Non-Cumulative Dividend of Cents Seventy (Rs. 0.70) Per Convertible Irredeemable Preference Share, per financial year.)

	Number	Rs.
Preference shares	41,398,511.00	413,985,110.00
Balance at the beginning of the period	-	-
Share issued during the period	41,398,511.00	413,985,110.00
Balance at the end of the period	41,398,511.00	413,985,110.00

Preference Share Capital quarter ended 30th September 2021

Trade Volume	Share Volume	Turnover (Rs)
66	16,391	158,204.60

10. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.
11. The Float adjusted market capitalization of the Company falls under Option 4 of Rule 7.13.1 (a) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.
The float adjusted market capitalization as at 30th September 2021 - Rs. 259,001,542.80

NOTES TO THE FINANCIAL STATEMENTS

AS AT 30TH SEPTEMBER, 2021

SHARE HOLDER INFORMATION

12. Major 20 share holders as at 30th September 2021 (ORDINARY SHARES)

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92%
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,692,693	6.19%
3 J.B. COCOSHELL (PVT) LTD	4,175,010	3.36%
4 HATTON NATIONAL BANK PLC/SRI DHAMAN RAJENDRAM ARUDPRAGASAM	3,095,431	2.49%
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21%
6 LAUGFS GAS PLC	1,433,550	1.15%
7 MR K.M.S.M. RAZEEK & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60%
8 PEOPLE'S MERCHANT FINANCE PLC/K.L.G. UDAYANANDA	655,423	0.53%
9 MERCHANT BANK OF SRI LANKA & FINANCE PLC/W.K.R. JAYAKODY	604,553	0.49%
10 MR C.W. GUNASEKARA	500,000	0.40%
11 SEYLAN BANK PLC/KARAGODA LOKU GAMAGE UDAYANANDA	495,792	0.40%
12 MR P.P. SUBASINGHE	400,306	0.32%
13 MRS M. ARUDPRAGASAM	254,074	0.20%
14 MR T.S. SALIM	251,127	0.20%
15 MERCHANT BANK OF SRI LANKA & FINANCE PLC 01	249,999	0.20%
16 MR R. UDALAGAMA	249,830	0.20%
17 HATTON NATIONAL BANK PLC/ARUMAPURAGE PETER LASANTHA FERNANDO	232,000	0.19%
18 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18%
19 MR N.S.R. SIVARUBAN	216,518	0.17%
20 MR W.K.R. JAYAKODY	200,964	0.16%
	113,736,717	91.58%
Othres	10,458,816	8.42%
Total	124,195,533	100%

No of Shareholders	% of Shareholding
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2,088	27.08%
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13 Ordinary Shares held by public as at 30th September 2021

The float adjusted market capitalization as at 30th September 2021 - Rs. 259,001,542.80

14 Major 20 share holders as at 30th September 2021 (PREFERENCE SHARES)

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	39,687,516	95.87%
2 J.B. COCOSHELL (PVT) LTD	1,353,458	3.27%
3 DFCC BANK PLC/MR.K.S.D.SENAWEEERA	98,049	0.24%
4 COCOSHELL ACTIVATED CARBON COMPANY (PRIVATE) LIMITED	50,000	0.12%
5 MR W A J SANJEEWA	50,000	0.12%
6 BANSEI SECURITIES CAPITAL (PVT) LTD/N.A.WAKISHTA	20,210	0.05%
7 MR G V SANJAYA	15,007	0.04%
8 MR G R SELLAHEWA	12,666	0.03%
9 MR. R J THOMAS	11,925	0.03%
10 MR K A D S MERVYN	11,058	0.03%
11 MR B THIYAGENDRAN	11,000	0.03%
12 MR N A WAKISHTA	10,633	0.03%
13 MRS. K C S PERERA	7,465	0.02%
14 MISS M A B C MANCHANAYAKE	7,389	0.02%
15 PEOPLE'S MERCHANT FINANCE PLC/ L.N.D. SILVA	6,666	0.02%
16 MR A M K C ATHTHANAYAKA	5,000	0.01%
17 MR R SHANJEEWAN	4,885	0.01%
18 MR L L MIGARA	4,279	0.01%
19 MR. P SIVAPATHASUNTHARAM	4,000	0.01%
MR.S. SIVAPATHASUNTHARAM		
20 MR S KUMARANESAN	3,333	0.01%
	41,374,539	99.94%
Othres	23,972	0.06%
Total	41,398,511	100%

No of Shareholders	% of Shareholding
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68	4.13%
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15. Preference Shares held by public as at 30th September 2021

The float adjusted market capitalization as at 30th September 2021 - Rs. 17,109,950.00

Directors' And CEO'S Shareholding As At 30Th September 2021

16. Directors' And Ceo'S Shareholding -Ordinary Shares

Name	No. of Shares	
	30.09.2021	%
Mr V A Prasanth	-	-
Mr. R.J.A. Gunawardena	-	-
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai	-	-
Alternate Director - Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-

17. Directors' And Ceo'S Shareholding -Preference Shares

Name	No. of Shares	
	30.09.2021	%
Mr V A Prasanth	-	-
Mr. R.J.A. Gunawardena	-	-
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai	-	-
Alternate Director - Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-

18. Utilization of right Issue Fund

Fund has been fully utilized as per objectives stated in the right issue prospectus.

Objective No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Circular in LKR	Amount allocated from Proceeds in LKR A	% of total proceeds	Amount utilized in LKR B	% utilization against allocation
1	Capital Expenditre	2018 November -19	Thalawakele	3,000,000	10.08.2019	2,500,000	83%	2,665,271.50	89%
		2018 November -19	Gampola	3,000,000	10.08.2019	3,000,000	100%	3,011,186.50	100%
		2019 January -16	Ragala	3,000,000	10.08.2019	3,500,000	117%	2,856,617.72	95%
		2018 November -24	Nawalapitiya	3,000,000	10.08.2019	3,000,000	100%	2,894,107.80	96%
		2018 December -21	Chunnakam	3,000,000	10.08.2019	3,000,000	100%	3,198,087.71	107%
		2019 February - 25	Puthukkudiyiruppu	3,000,000	10.08.2019	3,500,000	117%	3,452,867.69	115%
		2019 April -24	Kalmunai	3,000,000	10.08.2019	2,500,000	83%	2,548,594.46	85%
		2019 Decemebr -05	Mullativu	3,000,000	19.12.2019	3,000,000	100%	2,978,666.00	99%
		2020-December- 09	Matale	3,000,000	06.02.2020	3,000,000	100%	3,053,689.79	102%
		2020-January -03	Kegalle	3,000,000	03.07.2020	3,000,000	100%	3,251,061.31	108%
				30,000,000			30,000,000	29,910,150	
2	Approved 10 branches Working Caapital Requirmenets	2018 November -19	Thalawakele	40,000,000	10.08.2019	40,000,000	13%	33,343,280	83%
		2018 November -19	Gampola	40,000,000	10.08.2019	40,000,000	13%	41,127,879	103%
		2019 January -16	Ragala	40,000,000	10.08.2019	40,000,000	13%	50,568,170	126%
		2018 November -24	Nawalapitiya	40,000,000	10.08.2019	40,000,000	13%	37,613,607	94%
		2018 December -21	Chunnakam	40,000,000	10.08.2019	40,000,000	13%	51,736,807	129%
		2019 February - 25	Puthukkudiyiruppu	25,000,000	10.08.2019	25,000,000	8%	28,166,903	113%
		2019 April -24	Kalmunai	25,000,000	10.08.2019	25,000,000	8%	26,956,805	108%
		2019 Decemebr -05	Mullativu	20,000,000	19.12.2019	20,000,000	7%	15,788,829	79%
		2020-December- 09	Matale	20,000,000	06.02.2020	20,000,000	7%	11,411,083	57%
		2020-January -03	Kegalle	10,000,000	03.07.2020	10,000,000	3%	3,286,636	33%
				300,000,000			300,000,000	100%	300,000,000
3	Operating expenses		10 Branches	10,000,000.00		10,000,000.00	100%	10,000,000.00	100%
4	Expand Gold loan portfolio		18 Brances	62,543,414.00		62,543,414.00	100%	62,543,414.00	100%

19. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

As at 30th September 2021	Financial instruments at amortized cost (AC)	Fair Value through Other Comprehensive Income (FVTOCI)	Total
Financial Assets			
Cash and cash equivalents	1,589,684,144	-	1,589,684,144
Reverse repurchase agreements	1,615,778,416	-	1,615,778,416
Financial assets measured at amortized cost		-	-
-Loans and advances	11,767,447,655	-	11,767,447,655
-Lease rentals receivable and hire purchase	1,592,612,366	-	1,592,612,366
Financial assets - Fair value through other comprehensive	-	506,659	506,659
Total Financial Assets	16,565,522,581	506,659	16,566,029,240
Financial Liabilities			
Due to banks	27,613,532	-	27,613,532
Financial liabilities at amortized cost			
-Due to Customers	8,452,616,899	-	8,452,616,899
-Other borrowed funds	4,218,762,652	-	4,218,762,652
-Due to debt securities holders (Debenture)	2,079,705,320	-	2,079,705,320
Other Payable	295,240	-	295,240
Total Financial Liabilities	14,778,993,643	-	14,778,993,643

As at 31st March 2021	Financial instruments at amortized cost (AC)	Fair Value through Other Comprehensive Income (FVTOCI)	Total
Financial Assets			
Cash and cash equivalents	1,006,233,476	-	1,006,233,476
Reverse repurchase agreements	654,692,844	-	654,692,844
Financial assets measured at amortized cost		-	-
-Loans and advances	10,198,262,863	-	10,198,262,863
-Lease rentals receivable and hire purchase	2,212,534,894	-	2,212,534,894
Financial assets - Fair value through other comprehensive	-	506,659	506,659
Total Financial Assets	14,071,724,077	506,659	14,072,230,736
Financial Liabilities			
Due to banks	24,279,289	-	24,279,289
Financial liabilities at amortized cost			
-Due to Customers	7,013,686,384	-	7,013,686,384
-Other borrowed funds	4,778,758,726	-	4,778,758,726
-Due to debt securities holders (Debenture)	1,029,465,109	-	1,029,465,109
Other Payable	295,240	-	295,240
Total Financial Liabilities	12,846,484,748	-	12,846,484,748

NOTES TO THE FINANCIAL STATEMENTS
AS AT 30TH SEPTEMBER, 2021

20. INFORMATION ON DEBENTURES

Debenture Categories	CSE Listing	Interest Payable Frequency	Face Value as at 30/09/2021	Outstanding as at 30/09/2021	Market Values			Interest Rates		Interest rate of comparable Government Security %	Interest yield			Yield to Maturity		
					Highest LKR	Lowest LKR	Period end LKR	Coupon Rate	Effective Annual Yield		Highest	Lowest	Last traded	Highest	Lowest	Last traded
Debenture - Type A	Listed	Annually	461,300,000.00	501,874,904.89	Not traded during the quarter			10.3%	10.6%	6.5%	Not traded during the quarter			Not traded during the quarter		
Debenture - Type B	Listed	Annually	538,700,000.00	577,878,323.31	Not traded during the quarter			8.6%	9.1%	6.5%	Not traded during the quarter			Not traded during the quarter		
Debenture -Type A2	Listed	Annually	100,510,000.00	100,701,752.12	Not traded during the quarter			8.8%	8.9%	6.5%	Not traded during the quarter			Not traded during the quarter		
Debenture -Type B2	Listed	Monthly	334,240,000.00	332,499,186.57	Not traded during the quarter			8.6%	9.0%	6.5%	Not traded during the quarter			Not traded during the quarter		
Debenture - Type C	Listed	Annually	1,550,000.00	1,566,135.77	Not traded during the quarter			9.3%	9.2%	6.5%	Not traded during the quarter			Not traded during the quarter		
Debenture - Type D	Listed	Annually	563,700,000.00	565,179,813.33	Not traded during the quarter			9.4%	9.4%	6.5%	Not traded during the quarter			Not traded during the quarter		
Total Debentures			2,000,000,000.00	2,079,700,115.98												

Debenture issue proceeds utilization as at 30th September 2021

Objective number	Objective as per Prospectus	Amount allocated as per prospectus in LKR	Proposed date of utilization	Amount allocated in LKR (A)	% of total proceeds	Amount utilized in LKR (B)	% of Utilized against allocation (B/A)	Clarification if not fully utilized including where are the funds invested
01	The funds raised through the Debenture Issue will be utilized to finance expansion by increasing the gold loan portfolio of the Company within 06 months from the Date of Allotment.	1,000,000,000.00	31st Jan 2021	1,000,000,000.00	100%	1,000,000,000.00	100%	N/A
02	The funds raised through the Debenture Issue will be utilised to finance expansion by increasing the gold loan portfolio of the Company within 06 months from the Date of Allotment.	1,000,000,000.00	31st December 2021	1,000,000,000.00	100%	341,726,555.00	34%	Invested in Repo (backed by Government securities)

21. Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No 76, Park street colombo 02.

Taxpayer Identification Number (TIN)

104032664

Telephone

011-7699000'

E-mail

info@asiaassetfinance.lk

Website

<https://asiaassetfinance.com/>

Board of Directors of the Company

Mr. V.A Prasanth
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Shiranthi Gunawardena Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Nation Trust Bank
Cargills Bank

Audit Committee

Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr. V.A Prasanth
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr. V.A Prasanth
Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr. V.A Prasanth
Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Kuttikattu Rajappan Bijimon